9

Stocks I'd Avoid

If I could avoid a single stock, it would be the hottest stock in the hottest industry, the one that gets the most favorable publicity, the one that every investor hears about in the car pool or on the commuter train—and succumbing to the social pressure, often buys.

Hot stocks can go up fast, usually out of sight of any of the known landmarks of value, but since there's nothing but hope and thin air to support them, they fall just as quickly. If you aren't clever at selling hot stocks (and the fact that you've bought them is a clue that you won't be), you'll soon see your profits turn into losses, because when the price falls, it's not going to fall slowly, nor is it likely to stop at the level where you jumped on.

Look at the chart for Home Shopping Network, a recent hot stock in the hot teleshop industry, which in 16 months went from \$3 to \$47 back to \$3½ (adjusted for splits). That was terrific for the people who said good-bye at \$47, but what about the people who said hello at \$47, when the stock was at its hottest? Where were the earnings, the profits, the future prospects? This investment had all the underlying security of a roulette spin.

The balance sheet was deteriorating rapidly (the company was taking on debt to buy television stations), there were problems with the telephones, and competitors had begun to appear. How many zirconium necklaces can people wear?